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BAD NEWS BULLS

Value stocks have another attraction: they are constantly in fresh production. A new batch often appears when the troubles of a few leaders taint a whole industry.

Bad news usually gets exaggerated, and not just in the investment world, of course. What happened in the late 1970s, after the United States launched its first manned space station, called Skylab, seemed to me at the time a perfect metaphor for the way investors overreact to bad news, thus creating opportunities for the few who stay levelheaded. I still know no better example.

After a few years in orbit Skylab began to decay, and it was clear that it was going to fall back into the atmosphere. Hysteria erupted: the press reveled in stories intimating that all our lives were threatened by debris. *Time* devoted a cover story to the impending disaster. I'm sure thousands of little children hid under their beds.

"Wait a minute," I said to myself; "journalists don't know anything about probabilities. They are opposed to numbers." And the average person, no better acquainted with statistics,* thoroughly

*One study found the public believes accidents cause as many deaths as diseases. The truth is, diseases take about fifteen times as many lives.